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Subject: US SECTORS CALL: Information Technology, Industrials & Utilities
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YARDENI QUICKTAKES

US SECTORS CALL: Information Technology, Industrials & Utilities

By Ed Yardeni & Toby Hearst • 8 Nov 2026

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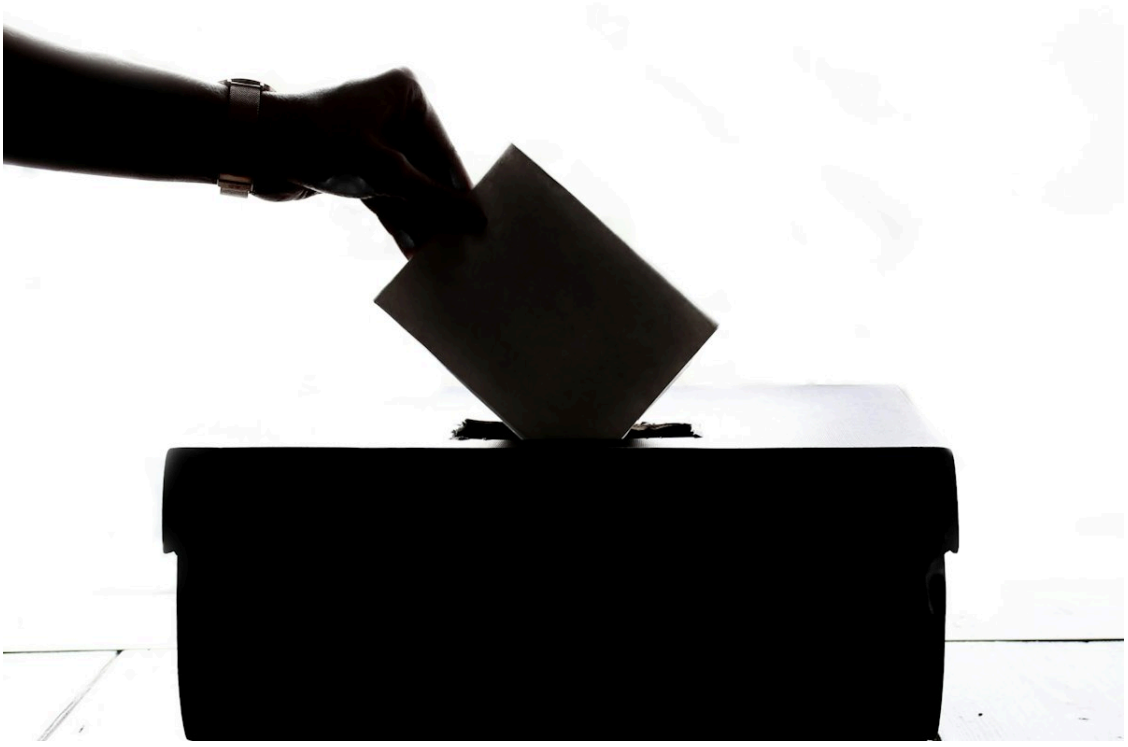


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YRI S&P 500 SECTORS WEIGHTING RECOMMENDATIONS* (Nov 06, 2026)				
S&P 500 Sectors	Weight Recommendation	Week-to-Date	Month-to-Date	Year-to-Date
S&P 500		-2.7	-2.7	7.8
Communication Services	MW	2.3	2.3	-9.9
Consumer Discretionary	UW	2.7	2.7	0.0
Consumer Staples	UW	1.0	1.0	17.1
Energy	OW	-11.9	-11.9	37.9
Financials	OW	1.1	1.1	4.2
Health Care	OW	-0.1	-0.1	19.2
Industrials	OW	-2.8	-2.8	4.8
Information Technology	MW	-6.9	-6.9	10.9
Materials	OW	-0.4	-0.4	14.0
Real Estate	UW	1.9	1.9	9.9
Utilities	MW	-0.7	-0.7	1.0

Source: LSEG Datastreamand © Yardeni Research.

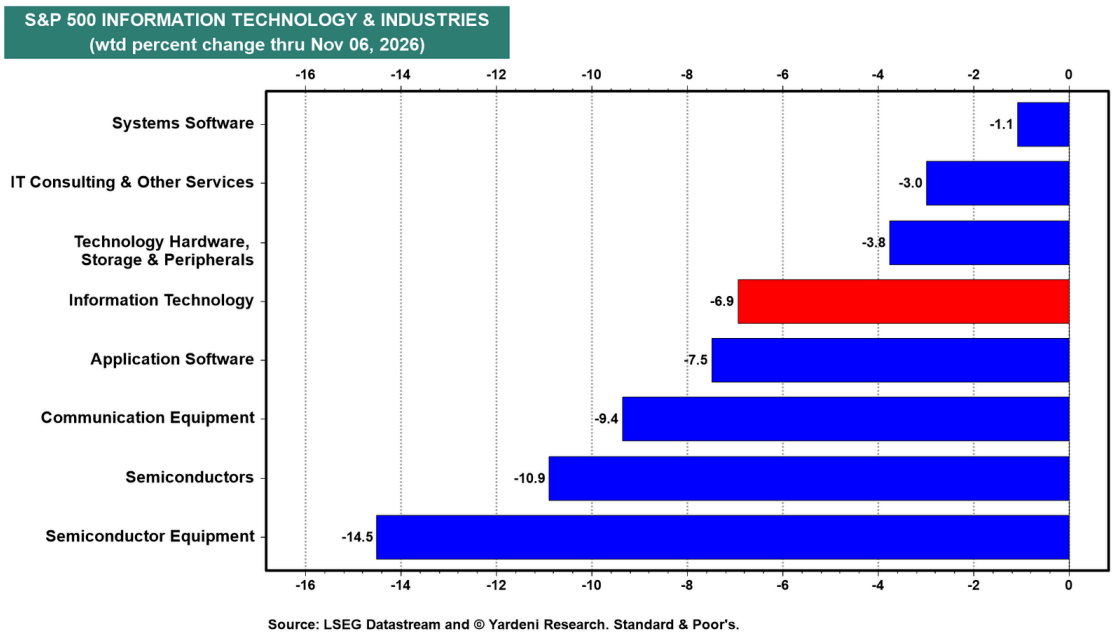
* OW = overweight, MW = market weight, and UW = underweight.

Last Thursday's selloff in the stock market was an AI selloff. Investors dumped companies that build, wire, and power data centers, following the Democrats' sweep of Congress amid voter hostility toward new facilities. Stocks recovered some ground on Friday. October payrolls rose by 165,000, beating expectations of 65,000. Still, the S&P 500 ended the week down 2.7%, and Information Technology (MW) fell 6.9% (chart).

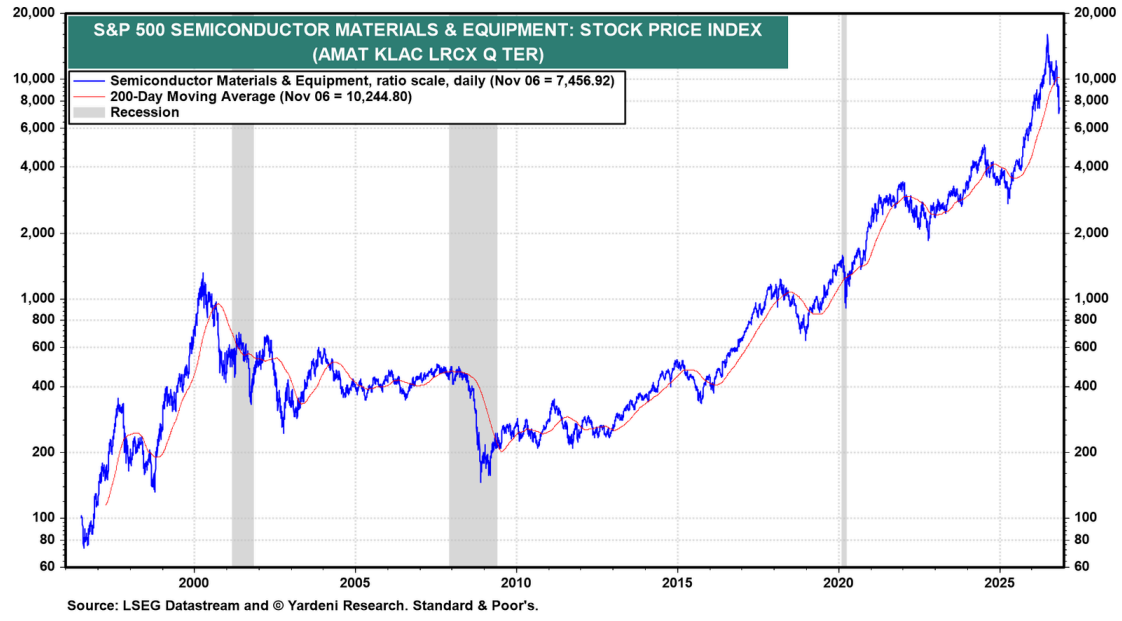
Energy (OW) was the worst-performing sector this week, down 11.9%, for a different reason. Oil prices tumbled on hopes of a US-Iran peace deal following the midterm elections. We are retaining our overweight recommendation on Energy as a hedge against re-escalation. Consumer Discretionary (UW) and Communication Services (MW) led the week, up 2.7% and 2.3%.

The market is pricing the AI backlash as a roadblock. We see a speed bump. Investors have already cut the multiples of the build-out's suppliers. Analysts have yet to cut their earnings estimates. That is the next test. We are not changing any of our sector weights. Here's more on Information Technology, Industrials, and Utilities:

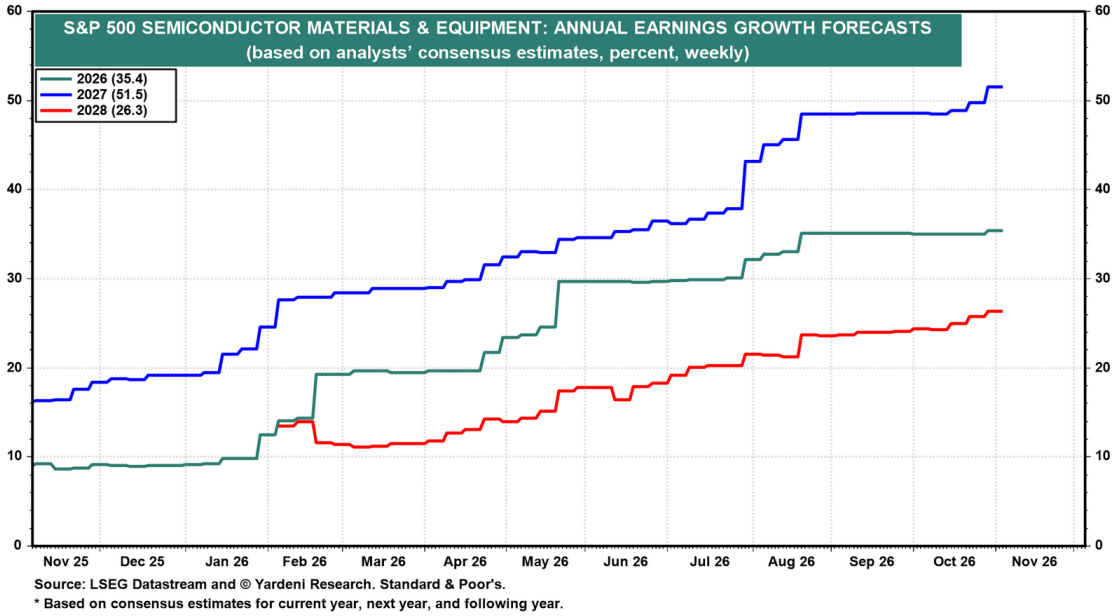
(1) Information Technology. The selloff hit the build-out's hardware suppliers the hardest. Semiconductor Equipment fell 14.5% this week, followed by Semiconductors (-10.9%) and Communication Equipment (-9.4%) (chart).



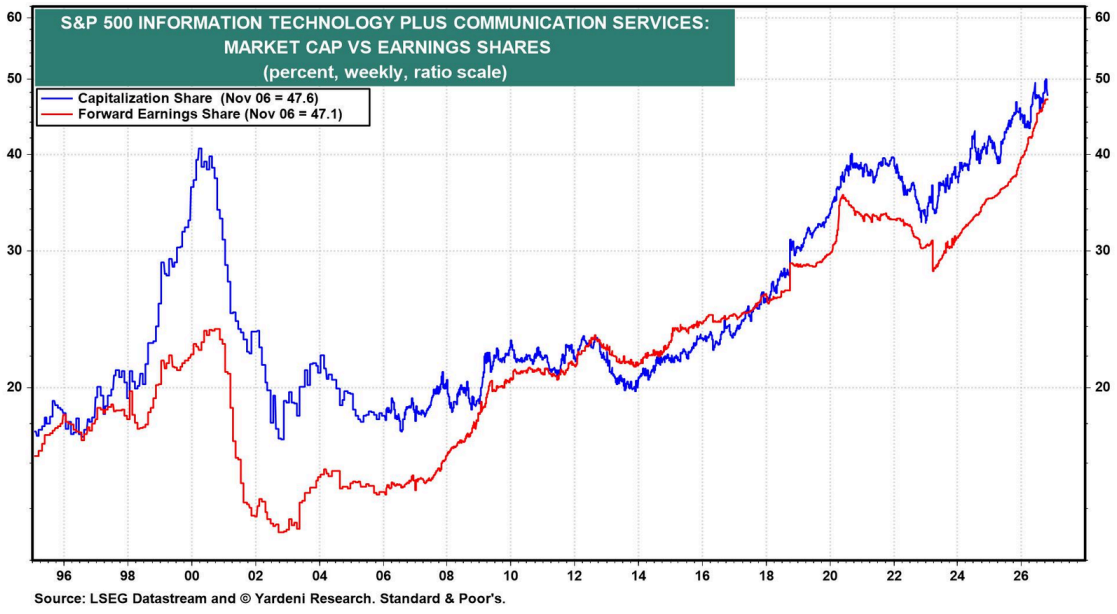
Semiconductor Equipment is the clearest case of a speed bump priced as a roadblock. The industry's stock price index is 27% below its 200-day moving average (chart). Yet its forward earnings and forward profit margin are at record highs. Its forward P/E has dropped to 21.2 from about 52.3 in June.



Analysts keep raising their estimates for Semiconductor Equipment stocks. Collectively, they expect the industry's earnings to grow 35.4% this year and 51.5% next year (chart). Their consensus earnings estimate for 2027 has risen steadily all year. Semiconductor Equipment is one of only two IT industries for which analysts expect faster growth next year than this year.



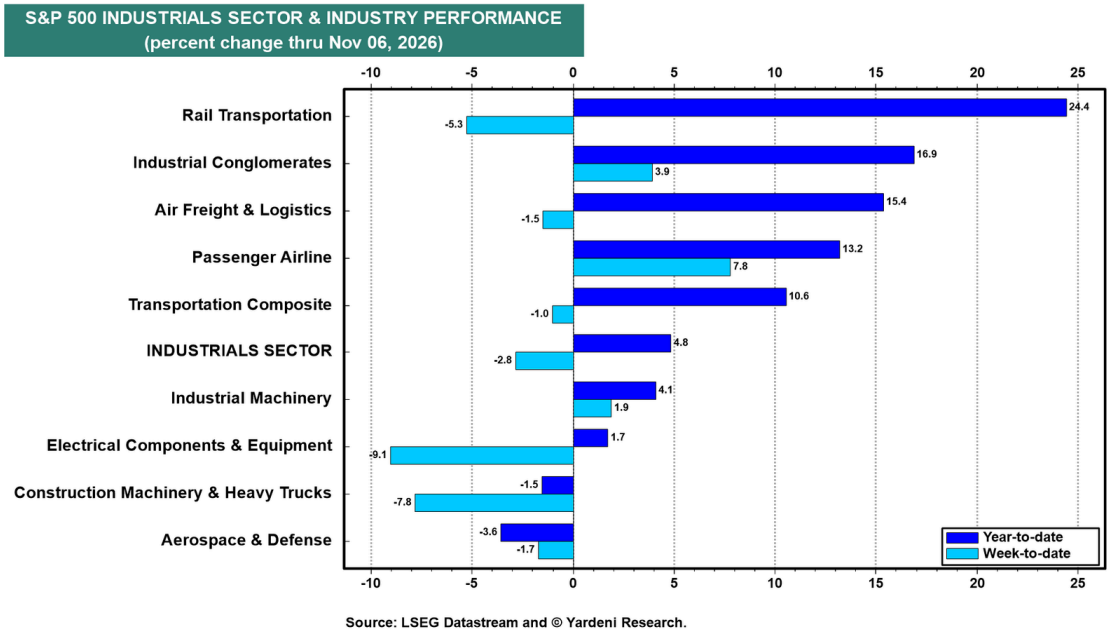
Valuations are far from tech-bubble extremes. IT and Communication Services together account for 47.6% of the S&P 500's market capitalization and a nearly identical 47.1% of its forward earnings (chart). In 2000, when valuations were at tech-bubble extremes, their market-cap share far exceeded their earnings share.



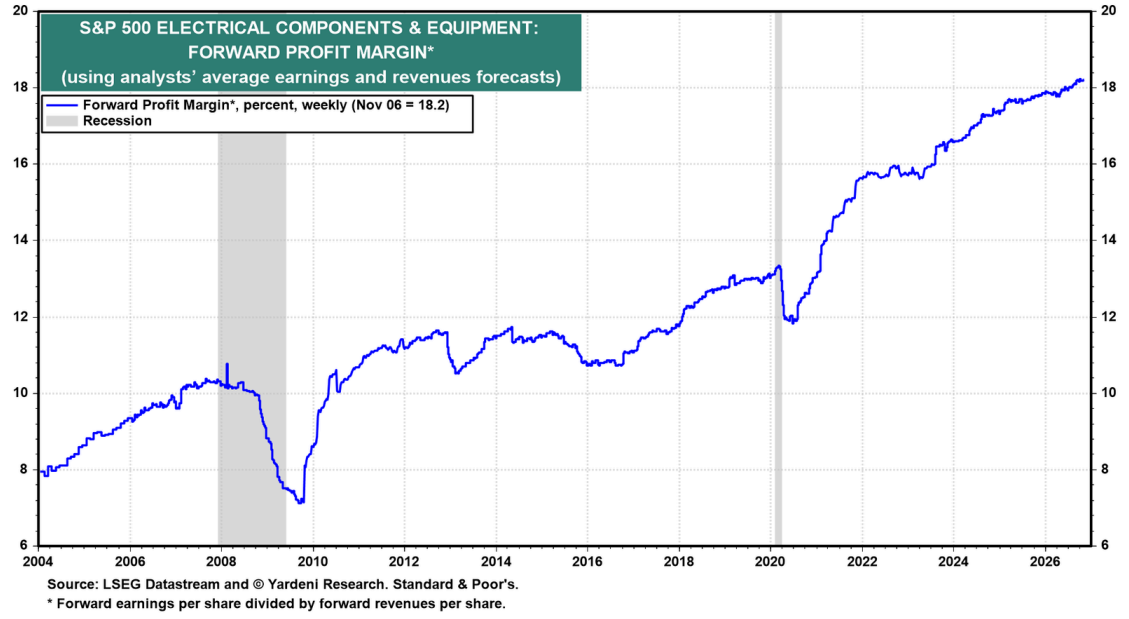
Tech's forward P/E has fallen to 17.3, and Semiconductors' forward P/E is down to 12.0. That already discounts some earnings disappointment. A modest cut in estimates is probably priced in. A deep one is not. That's why we remain at a market weight rating.

(2) Industrials. The AI-exposed industries led Industrials lower this week. Electrical Components & Equipment fell 9.1%, and Construction

Machinery & Heavy Trucks fell 7.8% (chart). Passenger Airlines, Industrial Conglomerates, and Industrial Machinery all rose.



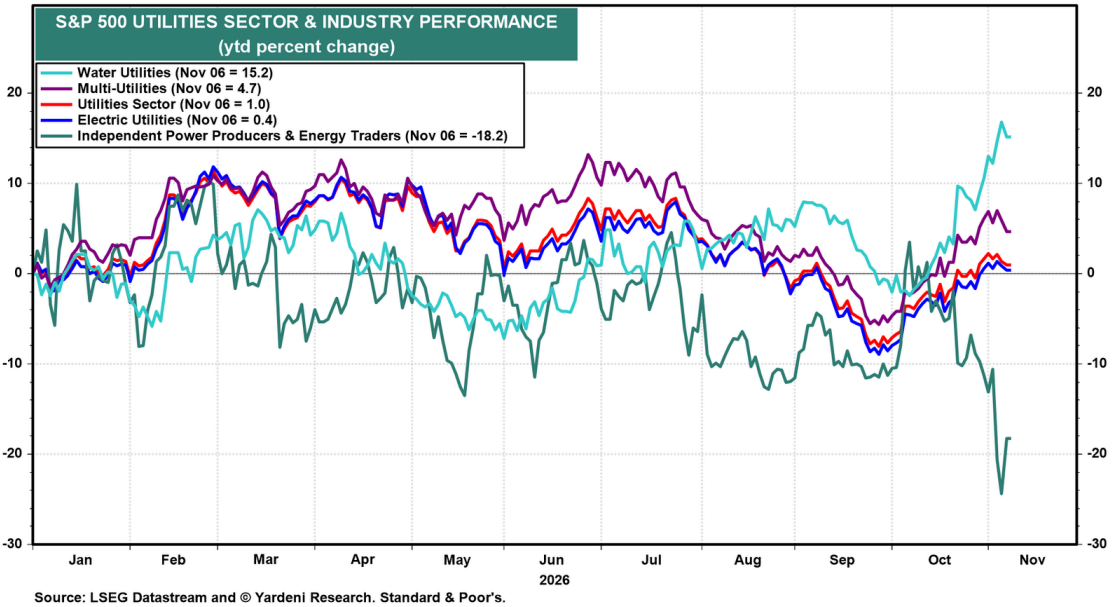
Electrical Components shows the same disconnect as Semiconductor Equipment. Its stock price index is 13.2% below its 200-day moving average. Yet its forward revenues and forward earnings are at record highs, and its forward profit margin rose to a record 18.2% (chart). Analysts expect the industry's earnings to grow 20.5% this year and 19.1% next year. Its forward P/E has fallen to 23.0 from over 30.



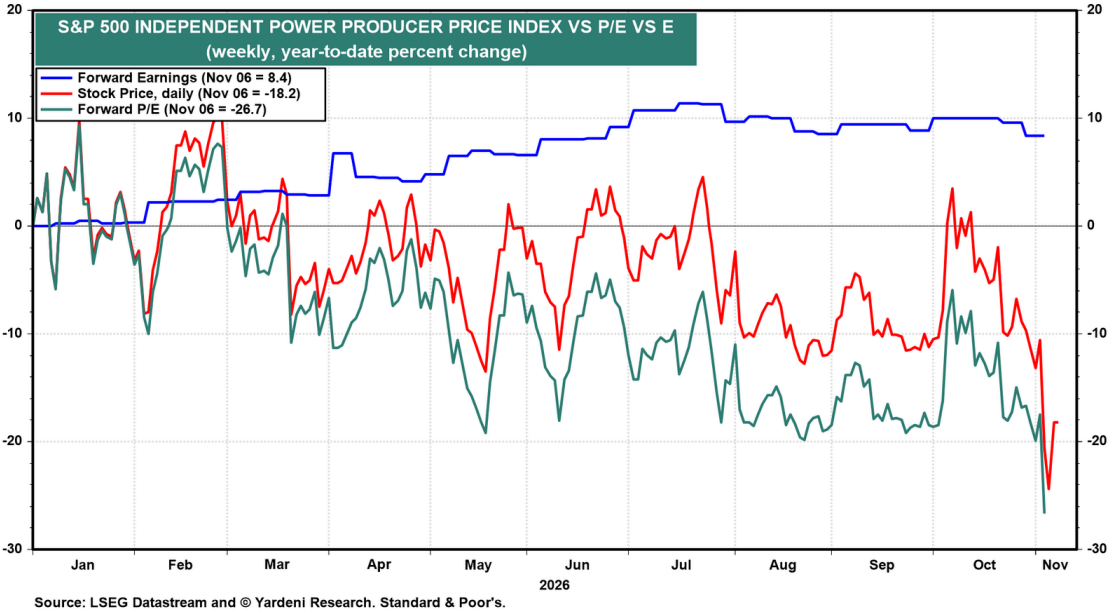
The Construction Machinery & Heavy Trucks index is trading at 26% below its 200-day moving average, even as its forward earnings have risen to a record high. Elsewhere, Rail Transportation is up 24.4% ytd. Analysts have trimmed the sector's 2027 earnings growth estimate to

15.8%, from 19.0% in July. That is still strong growth, and it supports our overweight rating.

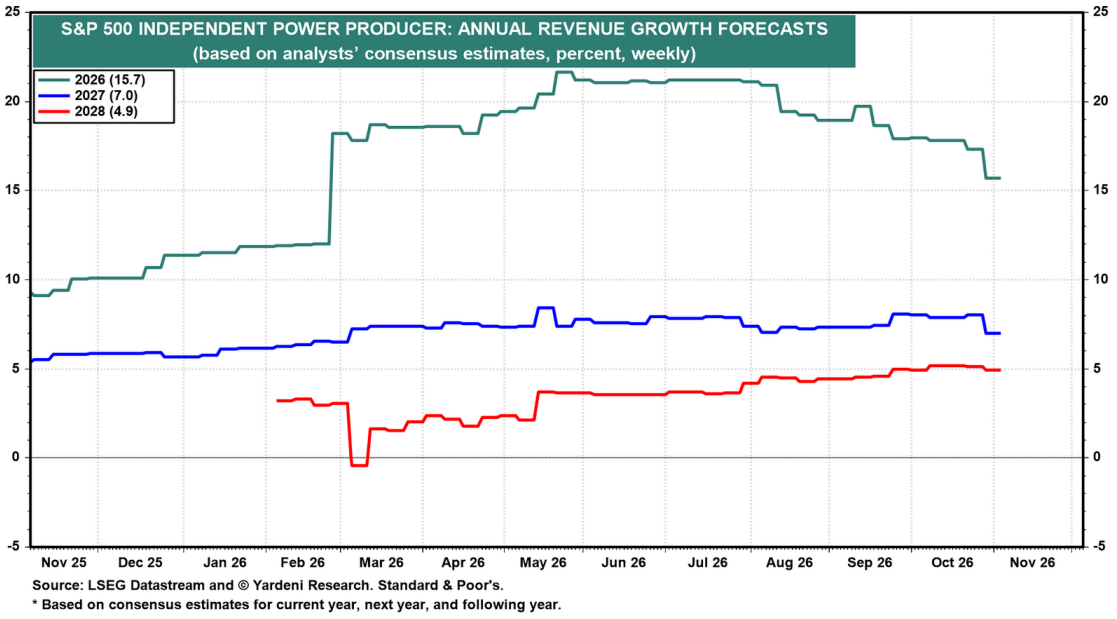
(3) Utilities. The gap between this sector's best and worst performing industries is enormous (chart). The Independent Power Producers & Energy Traders industry stock price index is down 18.2% ytd, including a 7.8% drop this week. Water Utilities is up 15.2% ytd, while the Utilities sector as a whole is up just 1.0% ytd.



IPPs sell power to data centers, and investors are pricing out that premium before analysts do. The industry's forward earnings is up 8.4% ytd, while its stock price index is down 18.2% (chart). Its forward P/E has fallen to 10.0, and its forward profit margin is at a record high.



Analysts are starting to follow investors' lead. They cut their 2026 revenue growth estimate for IPPs to 15.7% from 21.6% over the summer (chart). But they still expect IPP earnings to grow 12.0% next year. The low valuation suggests that investors expect more estimate cuts.



We downgraded Utilities to market weight on October 2 due to rising bond yields. The data center premium coming out of the IPPs gives us a second reason. We remain at a market weight rating.

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